is how cognitive errors occur. The prior probability is simple to understand, but the practical implementation of that understanding isn't easy.

Even if professional investors can overcome their own cognitive errors, there are other reasons that may lead them to prefer glamour stocks to value stocks. As is often the case, during Apple, Inc.'s rise and fall, it was the most popular stock among professional investors.[50] The reason is that there is a principal-agency problem in professional investment too: a professional investor might not act in the best interests of the investors in her fund. Lakonishok et al. observe, for example, that professional investors might prefer glamour stocks because they appear to be "prudent" investments, and hence easy to justify to investors in the fund. Here, though the professional investor is immune from cognitive error, the sponsors of the professional investor's fund are not. It is they who commit the judgment error, regarding glamour stocks as "safer" than value stocks, even though, as we have seen, they are riskier. Thus the professional investor knows that the strategy of investing in glamour stocks is not prudent at all, but does so because potential and existing sponsors in the fund regard it as prudent. Another possibility, which De Bondt and Thaler demonstrated in their research, is that professional investors are forced to be oriented to the short term because they are judged on short-term performance, and value strategies require longer time horizons to consistently pay off. Lakonishok et al. posit that professional investors will rationally look for stocks that appear likely to earn them immediate returns, rather than a small annual premium over the market over the next five years. They cannot afford to underperform the index or their peers for any period of time, for if they do, their sponsors will withdraw the funds. A value strategy that takes three to five years to pay off, but may underperform the market in the meantime, might simply be too risky for professional investors from a career perspective. The problem, of course, is that by attempting to avoid short-term underperformance, they are captured by it. The sum of these errors leads even professional investors to invest as if they prefer glamour stocks, and, consequently to underperform the market. The likely reason, given the experience of clinical and research psychologists, is that they make cognitive errors. They are easy to make because the incorrect decision feels intuitive, while the correct decision feels counterintuitive. Extrapolation is instinctive, while mean reversion is not. The lesson is that, if we understand both the characteristics that lead stocks to outperform and the physiognomies that lead investors to underperform, the difference between the two is behavioral.

Notes

1. Adapted from *The American Heritage Science Dictionary*. (Boston: Houghton Mifflin Company) 2008.